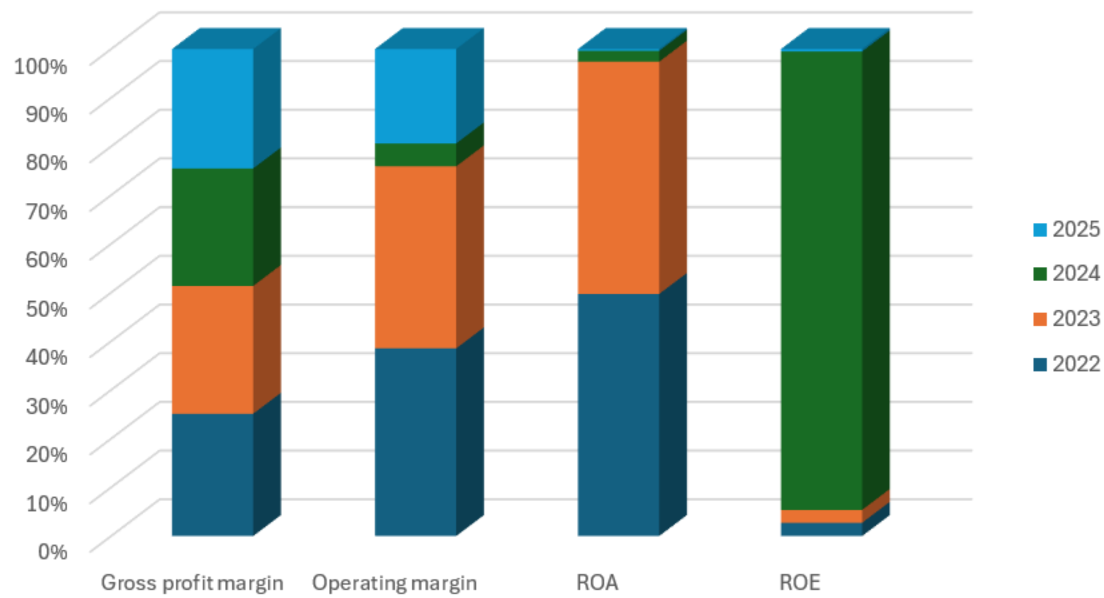
**PNP GROUP FINANCIAL ANALYSIS**

Income statement information




Gross profit margin

- The gross profit margin has been constant across the years with only slight deviations. This shows consistency in the gross profit.
- Gross profit can be increased by increasing revenue through offering lower prices to increase product demand, or by reducing costs and finding cheaper alternatives to production.

Operation Margin

- The operating profit margin shows the profit the group made from its operating activities.
- The figure grew from 2022 to 2023, with 2023 showing the highest growth in profit from operating activities. The lowest figure was in 2024, followed by a slight increase in 2025.
- To increase the operating margin in the coming years, the operating expenditure should be decreased. This can be done by either reducing wages if possible or by decreasing the rate of advertising and marketing costs.

Return on Assets (ROA)

- The ROA measures the performance generated by the assets in a business.
- The years 2022 and 2023 show the highest growth in ROA. This is met by a sharp decline in the years 2024 and 2025, 2025 showing the lowest growth in ROA.
- This means that the business's assets are not showing enough of a return to make a profit. This can be seen in the form of unsold products, used machines and idle stores.
- Some remedies for this include:
  - Shutting down or slowing down operations in stores that are idle and business is slower.
  - Reducing the amount of inventory bought in stores where it is not sold.
  - Sell idle machinery and generate an income from that.

Return on equity (ROE)

- The ROE shows the organization's ability to earn on shareholder's equity.
- The year 2023 showed the highest increase in ROE compared to the other years, the year 2025 experienced the lowest growth in ROE.
- The reason for this sharp decline can be appointed to a large increase in issued shares in 2025.
- Some remedies for this include:
  - Increase dividends payout and decrease the level of retained earnings.
  - Sell idle and unused machinery, reduce costs to stores that are low in sales.
  - Purchase cheaper machines instead of more expense ones, second hand over newer purchases provided that the quality is just as good.

Values (%):

| Items | 2022 | 2023 | 2024 | 2025 |
|---|---|---|---|---|
| Gross profit margin | 18.80 | 19.65 | 18.06 | 18.35 |
| Operating margin | 2.95 | 2.86 | 0.36 | 1.48 |
| ROA | 67.44 | 64.71 | 3.03 | 0.51 |
| ROE | 32.67 | 31.60 | 1126.62 | 5.94 |